Class 4

Liberty and the Rules of the Game

Part I — The Growth Miracle

The American Economy — draft course materials (proposal under discussion)

The point of today's class

Modern growth required both a new moral view of individuals — people who own themselves, their property, and their conscience — and institutions that made future returns credible; beliefs without enforcement are slogans, enforcement without legitimacy is extraction, and growth took off where the two arrived together.

Why it matters

- Class 3's recipe left a question: who will invest, build, or lend — and under what incentives?
- For most of history the answer was "very few": whatever you built could be seized by whoever held power.
- What had to change — in beliefs *and* in law — before ordinary people would build, lend, and trade with strangers?
- Rights are new, cumulative, and hard-won. The American colonies inherited the English package — common law, contract, religious dissent — and Class 5 shows the founders writing it all down at once.

Today

1. A game: invest or hide your capital
2. The rights timeline: subject to citizen to economic actor
3. Self-ownership and the rule of law
4. Credible commitment: England after 1688
5. Religious liberty as institutional innovation
6. Markets coordinate strangers

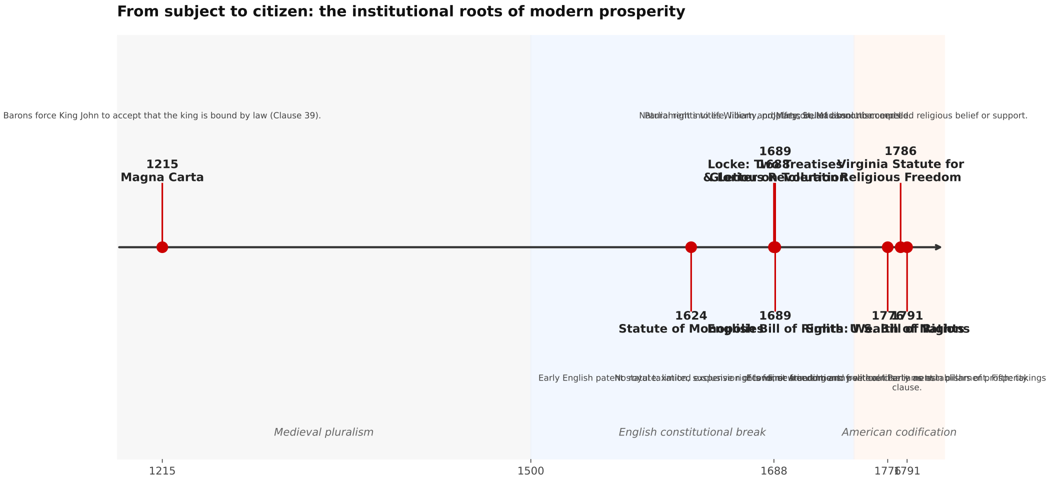
A game: invest or hide your capital

Rules:

1. You start with 10 coins. Each round, choose: **invest** (invested coins grow by 50%) or **hide** (hidden coins keep their value but earn nothing).
2. One student is the **ruler**. After choices are revealed, the ruler may seize any *invested* coins — hidden coins are safe.
3. Rounds 1–2: the ruler seizes whatever the ruler wants.
4. Round 3: new constitution — the ruler may take at most 20%, at a rate announced *before* you choose.

- What happens to investment in each round? Why?
- The point: **arbitrary** power kills investment; limited, predictable power revives it.

From subject to citizen: a 600-year arc



Source: Author's construction. Magna Carta (1215), English Bill of Rights (1689), Locke's Two Treatises and Letter on Toleration (1689), Smith's Wealth of Nations (1776), Virginia Statute for Religious Freedom (1786), U.S. Bill of Rights (1791)

Self-ownership: Locke in one sentence

- Locke, *Second Treatise*: every man has a "*property* in his own *person*."
- Your labor is yours; what you mix your labor with becomes yours.
- The economic content of a moral idea:
  - **wages** — selling your own labor, not someone else's
  - **occupational choice** — deciding what work to do
  - **migration** — taking your labor where it earns the most
- And its sharpest implication: slavery is the deepest violation of economic right — ownership of another person's person.

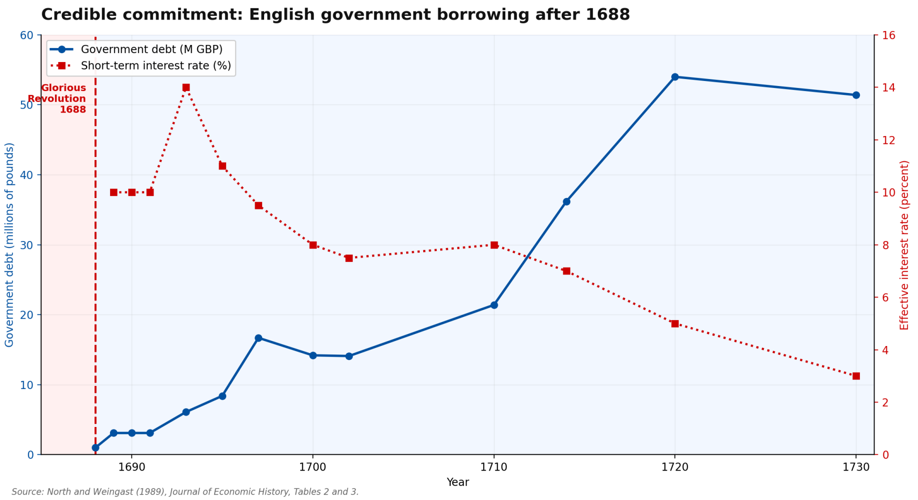
Rule of law: due process as an economic guarantee

- Magna Carta, Clause 39 (1215): no free man shall be seized or stripped of his rights or possessions "except by the lawful judgment of his equals or by the law of the land."
- The same promise reappears in the Fifth and Fourteenth Amendments: no deprivation of life, liberty, or property without due process.
- The economic reading: protection against **arbitrary seizure** is what makes saving, building, and investing rational.
- Rules bind the ruler, not just the ruled — that is the innovation.

Credible commitment: the 17th-century English break

- The ruler's problem: a king who *can* repudiate debts and seize property cannot *promise* not to — so lenders charge more, or refuse.
- 1688: Parliament controls taxation; courts are independent; the Crown's promises become structurally credible.
- North and Weingast: government borrowing costs collapse after 1688 — credible limits on power mobilized capital.
- What followed: the Bank of England, patents, joint-stock companies, deep capital markets.

Credible commitment: English government borrowing after 1688



Source: North and Weingast (1989), Journal of Economic History, "Constitutions and Commitment."

Religious liberty as institutional innovation

- After 150 years of religious war, toleration — the state stops enforcing a monopoly on belief.
- The economic case (not a devotional one):
  - conscience is self-ownership applied to belief
  - no state monopoly on belief means competition, not conformity
  - dissenter migration — Puritans, Quakers, Catholics, Jews, Latter-day Saints — brought skills, networks, and capital
  - pluralism built civil society: schools, charities, mutual aid, reform networks
- Two parts, both needed: **free exercise** and **disestablishment**.

Property rights are a bundle

Strand of the bundle	What it lets you do
Use	farm the land, run the machine
Income	keep what the asset earns
Sale / transfer	sell it, mortgage it, leave it to your children
Liability	bear the harms your property causes
Disputes	a court that settles conflicts predictably

- Weaken any strand and behavior changes: no one improves land they cannot sell, or invests income they cannot keep.

Markets coordinate strangers

- Smith's division of labor: the pin factory — specialization multiplies output, but only if you can trade with strangers.
- Prices as information (Smith, Hayek): no single person knows how to make a pencil; prices tell millions of strangers what is scarce and what is valued.
- Self-ownership + property rights + prices = cooperation among people who never meet.

Laissez-faire: the honest ledger

For	Against
voluntary exchange benefits both sides	famines amid plenty
strong incentives to innovate	monopoly power
coordination without a planner	pollution and other harms to bystanders
no ruler picks the winners	markets traded enslaved people

- The course takes both columns seriously — the rules of the game decide which column dominates.
- Exit question: England stumbled into credible commitment over five centuries. What happens when a brand-new country writes the whole package down at once — on purpose? (Class 5.)

Discussion

After the invest-or-hide game: are markets mainly a technology for greed, or a technology for cooperation among strangers?

Read before next class

- Magna Carta, Clause 39, and Locke, *Second Treatise* (short excerpts).
- North and Weingast (1989), "Constitutions and Commitment" — the anchor; skim the argument and the borrowing evidence.
- North (1991), "Institutions," *Journal of Economic Perspectives* — accessible overview.